SAMPLE BUSINESS PLAN

[redacted]

Multifamily Apartment Units

A Multifamily Investment Business Plan Presented by: MC Companies

[redacted]

CONFIDENTIAL/NOT FOR DISTRIBUTION

The Disclaimer

This Investment Summary ("Summary") accompanies a Confidential Private Placement Memorandum ("Memorandum") describing an investment in [redacted] LLC (the "LLC"). The terms of the offer of interests in the LLC are described in the Memorandum and the exhibits to the Memorandum, including this Summary. Offers will only be made to accredited investors. An investment in the LLC is speculative and subject to significant risks that are set forth in the Memorandum.

Forward Looking Statements: *Certain information contained in this Business Plan constitutes "forward-looking statements," which reflect the LLC's current beliefs and estimates of future economic circumstances. These statements can be identified by the use of forward-looking terminology, such as "may," "will," "seek," "should," "expect," "anticipate," "project, "estimate," "intend," "continue," or "believe" or the negatives thereof or other variations thereon or comparable terminology. The LLC believes the estimates and assumptions in the forward-looking statements are reasonable. However, forward-looking statements are inherently uncertain. Due to various risks and uncertainties, actual events or results or the actual performance of the LLC may differ materially from those reflected or contemplated in such forward-looking statements.*

Risks: *An investment in the LLC will be a speculative investment and subject to significant risks.*

PLEASE REVIEW THE RISKS FACTOR SECTION OF THE MEMORANDUM FOR A MORE DETAILED DESCRIPTION OF THE RISK THAT MAY BE INVOLVED WITH RESPECT TO AN INVESTMENT IN THE LLC.

Section I – The Summary

Section II – The Property

Section III – The Market

Section IV – The Due Diligence

Section V – Business Plan

Section VI – The Partnership

Section VII – The Company

Appendices

Section I – The Summary

MC Companies is pleased to announce our latest investment opportunity; a value-add, [redacted]-unit apartment community located in [redacted]. [redacted] is a "class B" asset in a "class A" location with potential upside through management as well as increasing current rents to reflect the local multifamily market.

The property was previously purchased by MC Companies and a group of Canadian investors in October of 2009 for the sole purpose of cash flow. During the last 3 years the surrounding market has realized strong increases in achievable rents. However, [redacted] has not been able to realize the same rent increases because of older appliances and finishes. The Canadian group is not capable of providing the needed capital to complete the upgraded finishes and because of internal changes within their partnership they have selected to sell the asset.

We have received both an appraisal and broker's opinion of value of $13,120,000. We believe after the completion of the necessary upgrades (roughly $1,300,000 in improvements) rents can be increased by an average of $84 per month. This increase in rents along with market conditions outlined in the proforma could give the property an estimated value of roughly $21,000,000 in 5 years.

Our plan:

- *Increase asking rents on average $84 per unit.*
- *Complete interior and exterior renovation.*
- *Rebrand and remarket.*

Thank you for your consideration and support in [redacted]. We are very pleased with the asset and the strong location. Given that we plan to increase rents and the immediate submarket continues to flourish, we believe this will be a strong asset for us and our investors long-term.

The Financial Overview

Purchase price (not including renovations)	$13,120,000
Closing, renovation, and offering costs	$1,897,085
Total basis	$15,017,085
Loan amount	$7,967,085
Equity	$7,050,000
Loan to Value (LTV)	61%
Total basis per unit	[redacted]
Price per square foot (improved)	$54.00
Number of units	[redacted]
Total estimated 5-year Member IRR at a 6.75% cap rate	17.38%
Manager Return on Investment (ROI)	110.16%
Estimated total Manager cash on cash return (equity multiple approx. 2.10)	210.16%

(Sum of the total money (distributions and appreciation upon sale of $21,150,097) returned to an investor over a hold period divided by the investor's initial investment)(i.e. $100,000 investment would receive approximately $210,000)

*Full detail of financial overview included in appendices

- *Total equity includes renovation of approximately $1,300,000*
- *MC will assume existing debt at a rate of 5.7%. The loan expires in 2019*

**Closing, renovation, loan amount, term, and interest rate are subject to change, resulting in a potential change in the CapX or equity, if applicable.*
**Loan carries a pre-payment penalty of $1,767,266.20 that decreases until maturity date of 2019*

The Reasons to Invest

Value add opportunity
B asset in A location
Market rents advanced 3% in 2013
[redacted] was one of the job growth leaders in the country with a 3.2% increase in 2013
[redacted] was recently recognized as one of the Top 20 cities to live in the United States
[redacted] and offers 170 restaurants and high end shopping
Rent increases for the next two years remains strong with 2.9% forecasted

Section II – The Property

The Description

[redacted] and consists of [redacted] units totaling approximately 244,012 rentable square feet in 19 two-story apartment buildings, with two pools, clubhouse and fitness center. Located in a suburb of [redacted], the property is situated on 15.83 acres with a density of 15.03 units per acre.

The Amenities

Unit Amenities

- Cable ready
- Walk in closets
- Frost free refrigerators with icemaker
- Dressing areas with vanities
- Wood-burning fireplaces*
- Washer/dryer connections
- Ceiling fans
- Walk-in closets
- Gourmet kitchens
- Dens*

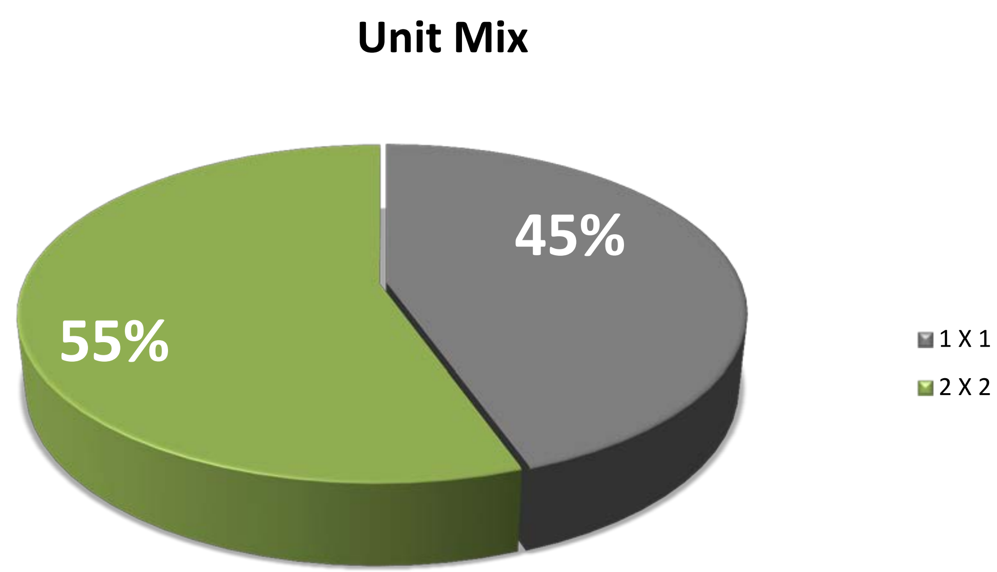
*In Select Units

Community Amenities

- Basketball court
- Playground
- Sand volleyball court
- Clubhouse
- Two swimming pools
- Tennis court
- Fitness center

The Unit Mix

[redacted] offers eleven large floor plans consisting of 1Bd/1Bath, 1Bd/1Bath with a den, and 2Bd/2Bath. The units range in size from 790 square feet to 1373 square feet with an average unit size of over 1,025 square feet.



The Rents

The current rents compared to the proposed rents for [redacted] are reflected below by unit type.

UNIT MIX & CURRENT RENTS

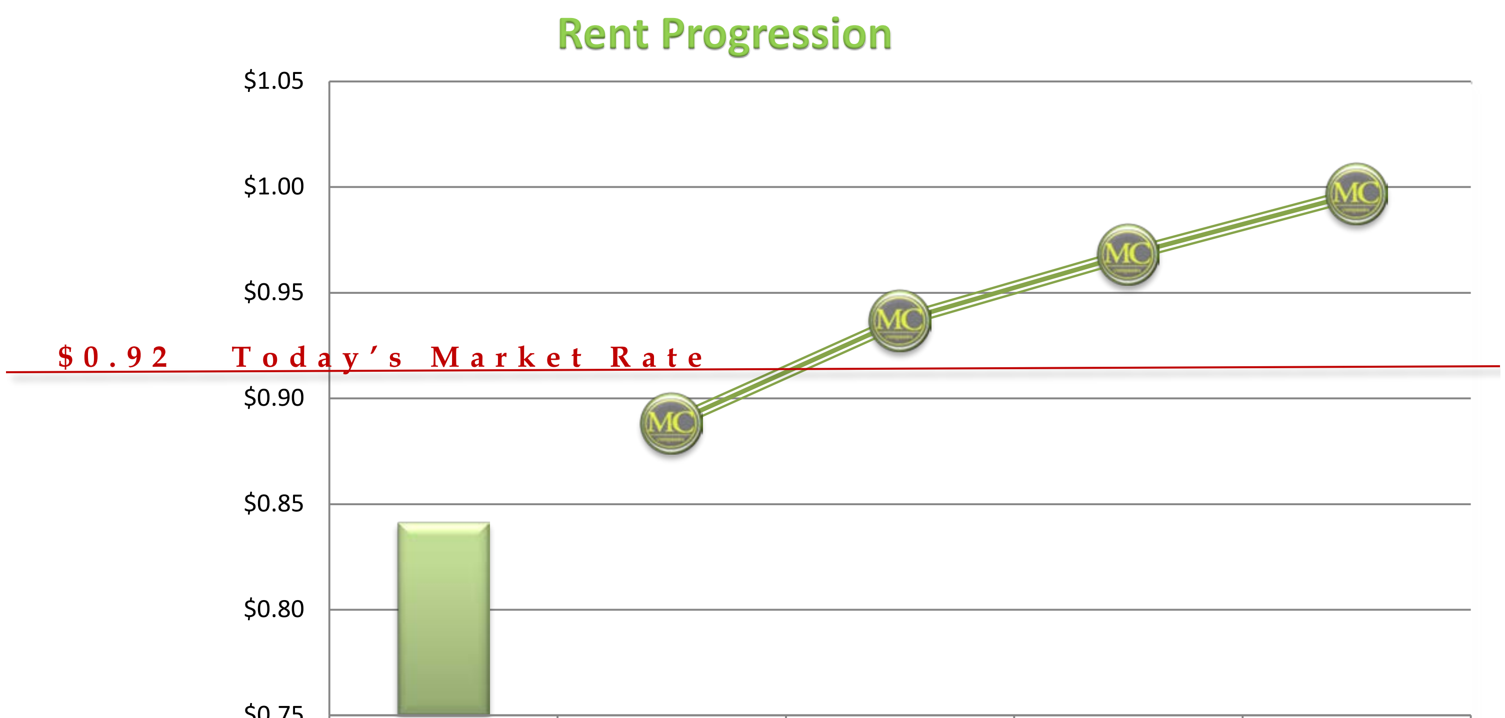
# UNITS	TYPE	% TOT	SIZE SF	TOT SF	MKT RENT	RENT PSF	GRP
[redacted]	1A	16%	790	29,230	$719	$0.91	$26,603
[redacted]	1B	22%	790	41,870	$719	$0.91	$38,107
[redacted]	1C	2%	799	3,196	$719	$0.90	$2,876
[redacted]	1D	2%	799	3,196	$719	$0.90	$2,876
[redacted]	1E	3%	904	7,232	$809	$0.89	$6,472
[redacted]	2A	24%	1140	63,840	$949	$0.83	$53,144
[redacted]	2B	11%	1214	31,564	$979	$0.81	$25,454
[redacted]	2C	3%	1215	9,720	$979	$0.81	$7,832
[redacted]	2D	9%	1216	26,752	$979	$0.81	$21,538
[redacted]	2E	5%	1369	16,428	$1,020	$0.75	$12,240
[redacted]	2F	3%	1373	10,984	$1,025	$0.75	$8,200
[redacted]		**100%**	**1025**	**244,012**	**$863**	**$0.84**	**$205,342**

PROPOSED RENTS

# UNITS	TYPE	% TOT	SIZE SF	TOT SF	MKT RENT	RENT PSF	GRP
[redacted]	1A	16%	790	29,230	$799	$1.01	$29,563
[redacted]	1B	22%	790	41,870	$799	$1.01	$42,347
[redacted]	1C	2%	799	3,196	$799	$1.00	$3,196
[redacted]	1D	2%	799	3,196	$799	$1.00	$3,196
[redacted]	1E	3%	904	7,232	$899	$0.99	$7,192
[redacted]	2A	24%	1140	63,840	$1,039	$0.91	$58,184
[redacted]	2B	11%	1214	31,564	$1,069	$0.88	$27,794
[redacted]	2C	3%	1215	9,720	$1,069	$0.88	$8,552
[redacted]	2D	9%	1216	26,752	$1,069	$0.88	$23,518
[redacted]	2E	5%	1369	16,428	$1,089	$0.80	$13,068
[redacted]	2F	3%	1373	10984	$1,099	$0.80	$8,792
[redacted]		**100%**	**1025**	**244,012**	**$947**	**$0.92**	**$225,402**

The current market rents are averaging $0.84 per square foot. After successful implementation of our Business Plan, including interior and exterior renovations, we believe that [redacted] should be in line with area market rent at $0.92 for comparable units. Interior upgrades will take place at turnover to allow for new market rents upon move-in.

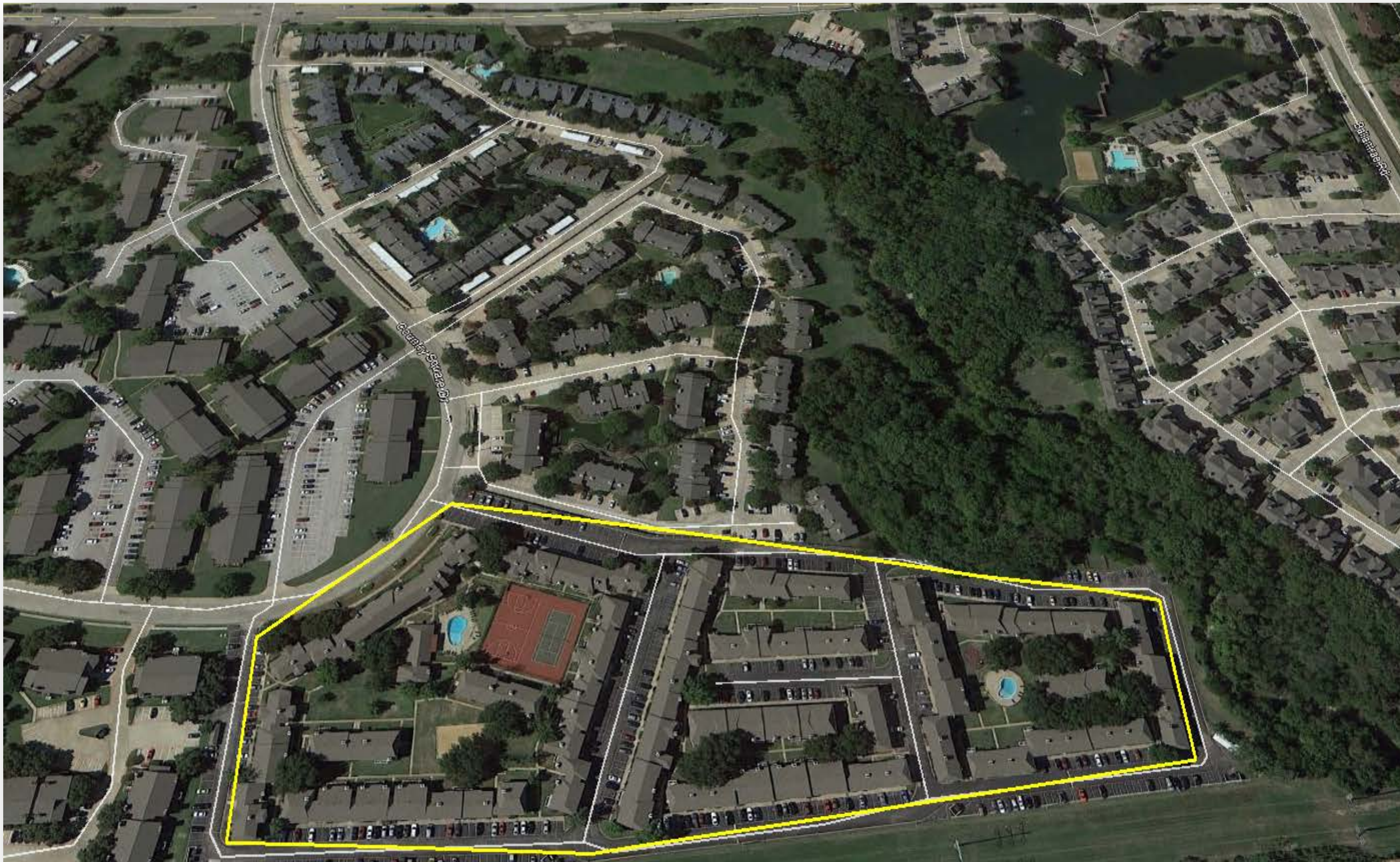
Rent Chart



	Current	Year 2	Year 3	Year 4	Year 5
Current Rent per Sq Ft	$0.84				
Proposed Rent per Sq Ft		$0.89	$0.94	$0.97	$1.00

The Business Plan is projecting that rents at [redacted] will be in line with what today's market lease rates between year 2 and year 3.

The Property Aerial Photo



The Property Photos


3 FT

The Floor Plans

1 Bed/1 Bath
790 SF

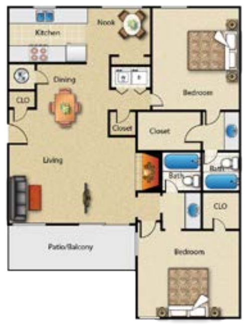
1 Bed/1 Bath
790 SF

1 Bed/1 Bath
799 SF

1 Bed/1 Bath
799 SF

1 Bed Den/1 Bath
904 SF

2 Bed/2 Bath
1140 SF



2 Bed/2 Bath
1214 SF

2 Bed/ 2 Bath
1215 SF

2 Bed/2 Bath
1216 SF

2 Bed/2 Bath
1369 SF

2 Bed/2 Bath
1373 SF

Section III – The Market

Why [redacted], Texas

[redacted] is a wonderful place to live and raise a family. They have great schools, nice parks and recreation centers. [redacted] and was recently recognized as one of the Top 20 cities to live in the United States. [redacted]. As of the 2010 census, the city's population was 119,097 making it the twenty-third most populous city in the [redacted].

[redacted] is located 2 miles from [redacted], which is one of [redacted] most popular destinations. [redacted] is unique in the amenities and customer service it provides to [redacted] area visitors. With more than 170 restaurants and 22 hotels, [redacted] offers abundant opportunities for lodging, dining and shopping, all within 4.35 square miles. [redacted] perfectly blends the diversity of a big city with the ambiance of a small town. [redacted] also promises the most prestigious shopping, including [redacted] with Nordstrom and Saks Fifth Avenue

Market rents advanced 3% in 2013. [redacted] was one of the job-growth leaders in the country with 3.2% increase, 98,700 new jobs. Expanding companies include Software company Trend Micro, customer service provider NOVO 1, outsourcing firm Aegis Ltd, and State Farm. The number of new builds surged to 12,300 compared to 7,340 in 2012. Metrowide vacancy was 5.4% at the end of 2013, a 30-basis-point decline from 12 months prior.

This year market rents are projected to advance 2.9% and 2.7% in 2015. Uncharacteristically low concessions of 1.8% of asking rents last year are expected to ascend to 2.9% of market rents by the end of 2015. Overall employment is projected to grow by 114,000 positions this year, a 3.6% increase. Next year, job growth is forecast to accelerate, rising 3.7% with the addition of 121,400.

The Rent Comparables

1 Spicewood Crossing — 129 Units — 95% Occupancy Rate
2925 Keller Springs — Built in 2006 — 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
36	1x1		779	779	$860	$860	$1.10
16	2x2		1019	1019	$1,205	$1,205	$1.18
42	2x2		1057	1057	$1,200	1,200	$1.13

Property Amenities: Gated, Newer property, Updated clubhouse & Fitness center, Pool
Unit Type Amenities: Newer cabinets, Microwave, Tiled Floors

2 Woods At Lakeshore — 128 Units — 97% Occupancy Rate
3560 Country Square Dr. — Built in 1985 — 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
20	1x1		757	757	$791	$791	$1.04
68	1x1den		863	863	$865	$865	$1.00
40	2x2		1067	1067	$943	$943	$0.88

Property Amenities: Pool
Unit Type Amenities: Newer Cabinets, Black appliances, microwave, faux wood floors/carpet, updated lighting

3 Westbridge — 284 Units — 97% Occupancy Rate
2300 Marsh Lane — Built in 2003 — 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
40	1x1		641	641	$825	$825	$1.28
40	1x1		700	700	$885	$885	$1.26
20	1x1		759	759	$920	$920	$1.21
18	1x1		761	761	$925	$925	$1.21
48	1x1		844	844	$965	$965	$1.14
44	2x2		1045	1045	$1,175	$1,175	$1.12
68	2x2		1140	1140	$1,215	$1,215	$1.06

Property Amenities: Newer Property, Gated, Pool, Updated Clubhouse & Fitness Center
Unit Type Amenities: Newer cabinets, Microwave, Newer Counters, Faux Floors, Updated Lighting

4 Vail Quarters | 332 Units | 96% Occupancy Rate
3900 Briargrove Lane | Built in 2007 | 1/17/2014
Dallas, TX 75287

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
52	1x1		682	682	$800	$800	$1.17
24	1x1		778	778	$825	$825	$1.06
38	1x1		823	823	$890	$890	$1.08
50	1x1		895	895	$935	$935	$1.04
20	1x1den		995	995	$1,085	$1,085	$1.09
12	2x2		1165	1165	$1,165	$1,165	$1.00
24	2x2		1257	1257	$1,380	$1,380	$1.09

Property Amenities Newer Property, Gated, Pool, Updated Clubhouse & Fitness Center
Unit Type Amenities Newer Cabinets, Stainless Appliance, Microwave, Granite Counters, Faux Wood Floors

5 Keller Oaks | 220 Units | 94% Occupancy Rate
2121 Marsh Lane | Built in 1985 | 1/17/2014
Carrollton, TX 75006
No Property photos on their site

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
48	1x1		683	683	$600	$600	$0.87
40	1x1		784	784	$750	$750	$0.95
40	1x1den		851	851	$800	$800	$0.94
36	2x2		1008	1008	$850	$850	$0.84
24	2x2		1032	1032	$900	$900	$0.87
16	2x2		1077	1077	$925	$925	$0.85

Property Amenities Updated Clubhouse & Fitness Center,
Unit Type Amenities Black/Stainless Appliances, Microwave, Refinished Counter tops, Faux Wood Floors/Carpet, Updated Lighting

6 Ballantrae Springs | 264 Units | 95% Occupancy Rate
2116 Marsh Lane | Built in 1995 | 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
24	1x1		656	656	$790	$790	$1.20
30	1x1		751	751	$865	$865	$1.15
36	1x1den		964	964	$1,015	$1,015	$1.05
48	2x2		1061	1061	$1,120	$1,120	$1.05
44	2x2		1114	1114	$1,170	$1,170	$1.05
8	2x2		1286	1286	$1,350	$1,350	$1.04
8	2x2		1286	1286	$1,350	$1,350	$1.04

Property Amenities Updated Clubhouse & Fitness Center,
Unit Type Amenities Microwave, Refinished Counter tops, Faux Wood Floors/Carpet, Updated Lighting

7 | Deer Run | 304 Units | 96% Occupancy Rate
3637 Trinity Mills Rd. | Built in 1984 | 1/17/2014
Dallas, TX 75287

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
40	1x1		706	706	$785	$785	$1.11
32	1x1den		866	866	$1,022	$1,022	$1.18
72	2x2		912	912	$1,067	$1,067	$1.16

Property Amenities: Updated Clubhouse & Fitness Center,
Unit Type Amenities: Refinished Cabinets, Counter new or refinished, Updated Lighting, Updated Lighting

8 | Oakhaven | 208 Units | 97% Occupancy Rate
3330 Country Square Dr. | Built in 1983 | 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
32	1x1		628	628	$675	$675	$1.07
40	1x1		703	703	$710	$710	$1.00
40	1x1		795	795	$785	$785	$0.98
24	1x1den		853	853	$810	$810	$0.94
24	1x1den		910	910	$870	$870	$0.95
24	2x2		985	985	$915	$915	$0.92
24	2x2		1106	1106	$990	$990	$0.89

Property Amenities: Updated Clubhouse & Fitness Center, Pool
Unit Type Amenities: Refinished Cabinets, Counter new or refinished, Updated Lighting, Updated Lighting

9 | Twentytwo50@Carrollton | 150 Units | 96% Occupancy Rate
2250 Marsh Lane | Built in 1984 | 1/17/2014
Carrollton, TX 75006

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
34	1x1		630	630	$690	$690	$1.09
9	1x1		676	676	$770	$770	$1.13
32	2x2TH		1012	1012	$902	$902	$0.89
15	2x2		1033	1033	$1,001	$1,001	$0.96
32	2x2TH		1035	1035	$954	$954	$0.92
14	2x2TH		1062	1062	$991	$991	$0.93
14	2x2TH		1092	1092	$998	$998	$0.91

Property Amenities: Updated Clubhouse & Fitness Center, Pool
Unit Type Amenities: Newer Cabinets, Black/Stainless Appliances, Microwave, Faux wood/carpet floors

10 | Lakeview @ Parkside | 573 Units | 96% Occupancy Rate
3950 Spring Valley Rd | Built in 1996 | 1/17/2014
Dallas, TX 75244

#	Bed/Bath	Floorplan	SF Low	SF High	$ Low	$ High	$/SF
84	1x1		670	670	$863	$863	$1.28
72	1x1		722	722	$902	$902	$1.24
84	1x1		910	910	$974	$974	$1.07
66	1x1		917	917	$1,007	$1,007	$1.09
36	1x1den		980	980	$1,000	$1,000	$1.02
54	2x2		1073	1073	$1,030	$1,030	$0.95
66	2x2		1201	1201	$1,131	$1,131	$0.94
66	2x2		1214	1214	$1,165	$1,165	$0.95

Property Amenities: Updated Clubhouse & Fitness Center, Pool
Unit Type Amenities: Faux wood floors/carpet, Updated lighting

Section IV – The Due Diligence

The Process

The primary information for this Business Plan was derived through the due diligence performed by MC Residential Communities, LLC, our in house management company. This analysis includes: MC already manages this property and has already completed these duties.

- Walking all [redacted] units – detailing all issues of the interiors and exteriors
- Review of prior 36 months financial statements
- Review of all tenant files
- File audit was compared to rent roll in order to flush out inconsistencies
- Evaluation of resident stability
- Review of all service contracts as they pertain to the operating statements
- Thorough market analysis to establish our market rents and vacancy projections
- Facilitation of outside contractors to review and bid for all capital work
- Shop comparable properties within the market place

The Findings

Based on our due diligence findings, we identified approximately $1,300,000 in interior renovations and capital improvements that will increase the properties competitive advantage in the market. These capital items include, but are not limited to:

Item	**Total**
Roofs	27,500
Gutters	83,500
Paint and stucco repairs	84,724
Asphalt	27,500
Landscape	35,000
Pet Park	6,500
Lighting	10,000
Office Reno	5,000
Signage	10,000
Fitness/Clubhouse	50,000
Pool Plaster and Deck	60,600
Interior Reno	
Flooring	
Labor	50,000
Hardware & Lighting	116,500
2" Blinds	35,700
Plumbing Fixtures	54,681
Refrigerator	124,850
Range	102,600
Microwave	59,500
Dishwasher	67,200
Kitchen Hardware	23,800
Full paint - two tone	16,000
Average cost of unit reno:	
Subtotal	1,051,155
Construction Oversight	52,558
Contingency	197,236
TOTAL	1,300,949

Section V – The Business Plan

The Management

The day-to-day operations of [redacted] will be managed by MC Residential, our in house property management company. The market rate management fee [redacted] of the property's gross income will cover all asset management and property management functions including:

- Manage the project to the business plan
- Develop and implement marketing strategies
- Prepare monthly reports
- Remit returns to investors and all investor communication
- Supervise on-site personnel
- Prepare annual budgets

The Plan & The Exit

Year 1 - Maintain occupancy and begin capital improvement program.

Year 2 - Rent units at market rents and continue capital improvement program, renew market rents and maximize revenue.

Year 3- 4 - Further stabilize community and position for potential refinance or sale.

Year 5 - We anticipate either a disposition of the asset at this time or a refinance.

The Projected Financial Performance

The following pro-forma cash on cash returns and net operating income projections are estimated based on the historical operating statements and information obtained from due diligence. Actual performance will vary based on external market conditions and actual property performance.

1st 12-months – Estimated 5.94% (4.45%) Members) cash on cash return, underwriting produces a Net Operating Income (NOI) of $1,076,937

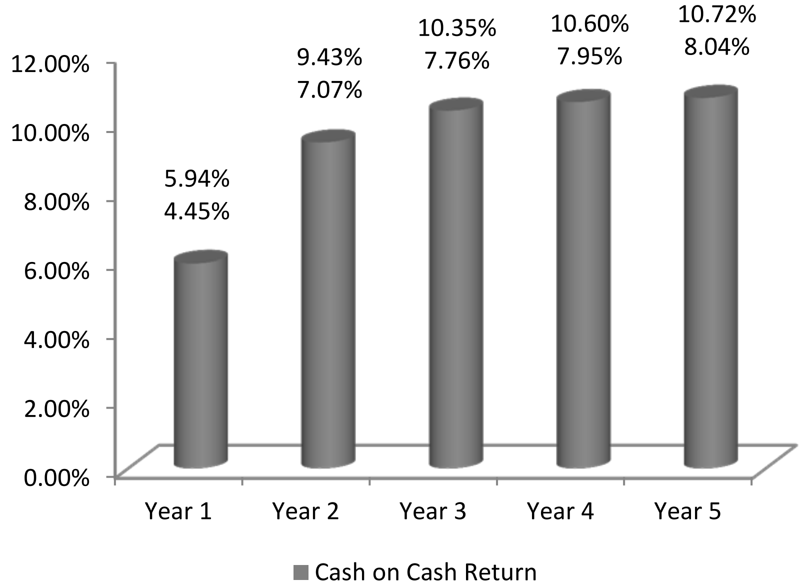
2nd 12-months – Estimated 9.43% (7.07%) cash on cash return, underwriting produces a NOI of $1,330,326

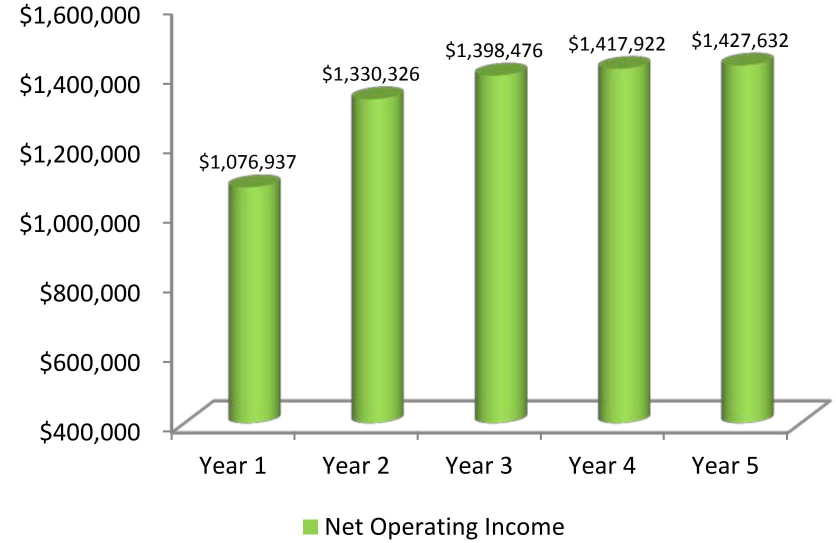
3rd 12-months – Estimated 10.35% (7.76%) cash on cash return, underwriting produces a NOI of $1,398,476

4th 12-months – Estimated 10.60% (7.95%) cash on cash return, underwriting produces a NOI of $1,417,922

5th 12-months – Estimated 10.72% (8.04%) cash on cash return, underwriting produces a NOI of $1,427,632

(10.72% (8.04%) cash on cash estimate does not include sale or refinance proceeds if applicable)





Section VI – The Partnership

The Legal

[redacted] (the "LLC") will hold title to the Property. Within the LLC, the Manager and the Members will all be equity investors.

The Manager

The Manager of the LLC will be [redacted], LLC an affiliate of MC Companies. [redacted], LLC will retain 25% ownership in the LLC. MC has extensive experience in the acquisition and management of multifamily properties in multiple markets. The company has developed or acquired approximately $400 million in multifamily properties, and manages approximately 6,500 units. See our website at www.mccompanies.com. The acquisition responsibilities of the Manager are outlined below. Affiliates of the Manager intend to purchase at least 1 Unit.

The Profit Distribution

The Members are responsible for the total equity investment of $7,050,000 The minimum investment in the LLC is $100,000 (a "Unit"). Each Unit will represent 1/70.5th of the $7,050,000 equity required, and will equal a 1.0638% ownership in the LLC.

The Members will receive [redacted] of distributable cash flow from operations and [redacted] to the Manager.

Distributions of profits, losses, and proceeds from sale or refinance will be distributed 100% to the Members until they have received all of their capital contributions, Thereafter, remaining proceeds will be distributed [redacted] to the Members, and [redacted] to the Manager.

Income will generally be allocated to the Members and Manager to the extent of losses previously allocated to the Members and Manager, next to the Members in the amount of their preferred return, and thereafter [redacted] to the Members and [redacted] to the Manager. Losses will generally be allocated to the Members and the Manager to the extent of income previously allocated to the Members or Manager less any distributions associated with such income, next to the Members to the extent their capital contributions exceed distributions associated with the capital contributions, next to the Members and Manager to the extent of the positive balances of their capital accounts, and thereafter, to the Members.

The Fees

Fees and Compensation to [redacted] (MC) or Affiliates

Acquisition Fee – [redacted] of acquisition price

MC will do the following:

- Advance 100,000 of as an at risk deposit into escrow
- All interest gains on the non-refundable at risk funds will be credited toward the partnership at close of escrow
- Successfully negotiate the purchase and sale agreement
- Facilitate debt assumption and advance loan costs up to $150,000
- Use the company's and its principals' financial strength to qualify for financing
- Coordinate all due diligence and manage the closing process
- Organize and oversee the close of escrow
- Coordinate any and all legal work
- Manage all investor equity

Due Diligence -$0 per unit (units already under management)

- See page 21 of Business Plan

Refinance and Return of Investor Capital – [redacted]

When market conditions permit, MC expects to obtain an additional loan for the ultimate goal of returning investor capital. The refinancing process requires going to the capital market for the best rate and terms and working with the underwriters; increased dealings with the managing agent and on-site property manager to maximize the net operating income of the property to achieve maximum loan to value and debt coverage ratios; negotiating fees with these brokerages, multiple meeting with lender's third party consultants for appraisals, surveys, third party inspections and environmental reports; providing documentation necessary to obtain credit approval; and negotiating the tax, insurance and replacement reserves. Refinance Fee will be paid upon the closing of any new loan.

Disposition / Sale – [redacted]

When market conditions permit, MC will value the property for the partnership, negotiate a listing agreement with a local multifamily brokerage firm and coordinate all tours and questions for prospective buyers. Upon receipt of an acceptable offer, MC will negotiate the purchase and sale agreement between the partnership and the buyer, manage the due diligence period, and work with the title company and property management company during the escrow period. Ongoing correspondence will be generated including the final return of all capital to all partners. Disposition fee will be paid upon the ultimate sale of the property.

Property Management Fee – [redacted] of Gross Monthly Revenue

An affiliate of MC will provide a contract for property management services related to the operation of the Property. These services will include marketing and rental of units, maintenance and repair of the Property, and accounting services.

Asset Management Fee – [redacted] of Gross Monthly Revenue

An affiliate of MC will provide management services with respect to the LLC.

Section VII – The Company

The About

Company & Focus

MC Companies is a full-service real estate investment and management company that acquires, develops, builds and manages over 6,500 units in multifamily communities in the west and mid-western states. We strive to be a forward thinking organization and understand our business is about people. *Sharing the Good Life* is about delivering optimal living and service standards to our residents, maximizing operating income and increasing property assets value for our investors, and providing a quality work environment for our Team Members.

Founded

Formalized Partnership and Merged Companies in 2001

Team Members

200

Headquarters

15170 N. Hayden Road, Suite 1, Scottsdale, Arizona 85260 | Phone 480-998-5400

MC Companies Assets

Arizona

- The Place at Canyon Ridge, Tucson
- The Place at Creekside, Tucson
- The Place at Edgewood, Tucson
- The Place at Forest Ridge, Flagstaff
- The Place at the Fountains at Sun City, Sun City
- Loloma Vista, Phoenix
- Puesta Del Sol, Tucson
- The Place at Savanna Springs, Sierra Vista
- The Place at Tierra Rica I & II, Tucson
- The Place at the Verandas, Phoenix
- The Place at the Village at Foothills, Tucson
- The Place at Wickertree, Phoenix

Oklahoma

- The Place at Quail Hollow, Tulsa
- The Place at 81 Yale, Tulsa
- The Place at the Village at Stratford, Oklahoma City

Texas

- The Place at 2500 James (Bay Harbour), Houston
- The Place at Stone Creek, Houston
- The Place at Terracina, Austin
- The Place at Houston Street Townhomes, San Antonio
- The Place at Castle Hills, San Antonio
- The Place at Cooper's Hill, Austin
- Emerald Park, N Richard Hills

Texas Cont.

- The Place at Green Trails, Katy (Houston)
- The Place at Harvestree, Plano
- The Place at Overlook, San Antonio
- The Place at Park Timbers, Lewisville, (Dallas/Ft Worth)
- The Place at Saddle Creek, Carrollton (Dallas/Ft Worth)
- The Place at Shadow Valley, San Antonio
- Terracina Apartments, Austin
- The Place at Vanderbilt, Fort Worth
- Ventana at Valwood, Farmers Branch
- The Place at West Village, Austin

The Contact Information

For any and all questions please feel free to email or call. www.mccompanies.com

Ken McElroy
MC Companies
Principal
Ken.mcelroy@mccompanies.com
15170 N. Hayden Road Suite #1
Scottsdale, AZ 85260
P: 480-998-5400 | F: 480-998-8099

Ken McElroy, Co-Partner of MC Companies, has over 26 years of senior level experience in multifamily asset/property management, development, project/construction management, investment analysis, acquisitions and dispositions, business development, and client relations.

Ross McCallister
MC Companies
Principal
rmccallister@mccompanies.com
2910 N Swan Road, Suite 204
Tucson, AZ 85712
P: 520-790-8100 | F: 520-790-0408

Ross McCallister, Co-Partner of MC Companies, is a 30-year industry expert in real estate/development and finance. He developed and constructed more than 3,000 apartment units in Arizona, and managed condominium conversions in Oregon, Las Vegas, and Arizona, valued in excess of $300 million

Lesley Brice
MC Companies
Principal MC Residential
lbrice@mccompanies.com
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Scottsdale, AZ 85260
P: 480-998-5400 | F: 480-998-8099

Lesley Brice, Partner and CEO, MC Residential. Lesley oversees property management on both the corporate and property levels. She has 25 years experience in apartment management including real estate development, investment, asset management, and condominium conversion. She is a licensed real estate broker.

Tanner Bickelhaupt
MC Companies
Director of Investor Capital
tbickelhaupt@mccompanies.com
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Tanner Bickelhaupt, responsible for developing and enhancing effective relationships with debt and equity investors, monitoring capital markets and liquidity, managing investment relationships and executing appropriate capital transactions. He holds a Bachelor's degree in Business Administration and Marketing from Gonzaga University. Tanner is a licensed Real Estate Broker in both Washington and Idaho has more than 9 years of experience in real estate syndication.

Appendices

The Five-Year Projections

Saddle Creek

SITE INFORMATION

Seller Offering Price	$13,120,000
Seller Offering Price Per Unit	$55,126
Seller Offering Price Per SF	$54
Year Built	1981
No. Units	[redacted]
Rentable Sq.Ft.	
Land Size (In Acres)	
Density (Per Acre)	
No. Buildings	
Investor Return	75%
Assumptions	
Mechanical Systems	
Electricity	Individual
HVAC	Individual
Water/Sewer Trash	RUBS

UNIT MIX & CURRENT RENTS

# UNITS	TYPE	% TOT	SIZE SF	TOT SF	MKT RENT	RENT PSF	GRP
[redacted]	1A		790	29,230	$719	$0.91	$26,603
	1B		790	41,870	$719	$0.91	$38,107
	1C		799	3,196	$719	$0.90	$2,876
	1D		799	3,196	$719	$0.90	$2,876
	1E		904	7,232	$809	$0.89	$6,472
	2A		1140	63,840	$949	$0.83	$53,144
	2B		1214	31,564	$979	$0.81	$25,454
	2C		1215	9,720	$979	$0.81	$7,832
	2D		1216	26,752	$979	$0.81	$21,538
	2E		1369	16,428	$1,020	$0.75	$12,240
	2F		1373	10,984	$1,025	$0.75	$8,200
		100%	**1025**	**244,012**	**$863**	**$0.84**	**$205,342**

TAX INFORMATION

Tax Identification Number(s)	
County	
2012 Tax Liability	$0
2013 Tax Liability	$0
2014 Estimated Tax Liability	$0
Tax Rate	0

PROPOSED RENTS

# UNITS	TYPE	% TOT	SIZE SF	TOT SF	MKT RENT	RENT PSF	GRP
[redacted]	1A	16%	790	29,230	$799	$1.01	$29,563
	1B	22%	790	41,870	$799	$1.01	$42,347
	1C	2%	799	3,196	$799	$1.00	$3,196
	1D	2%	799	3,196	$799	$1.00	$3,196
	1E	3%	904	7,232	$899	$0.99	$7,192
	2A	24%	1140	63,840	$1,039	$0.91	$58,184
	2B	11%	1214	31,564	$1,069	$0.88	$27,794
	2C	3%	1215	9,720	$1,069	$0.88	$8,552
	2D	9%	1216	26,752	$1,069	$0.88	$23,518
	2E	5%	1369	16,428	$1,089	$0.80	$13,068
	2F	3%	1373	10,984	$1,099	$0.80	$8,792
		100%	**1025**	**244,012**	**$947**	**$0.92**	**$225,402**

Actuals vs. Projected

	Actual	Projected	Difference
Effective Gross - T6	$2,074,790	$2,119,014	2%
Total Income - T6	$2,214,246	$2,260,437	2%
Total Expenses - T12	$1,117,436	$1,183,885	6%
Net Operating Income	$1,059,599	$1,076,552	2%

FINANCIAL OVERVIEW

VALUATION

CAP	VALUE	PER UNIT
6.00%	$17,942,534	$75,389
6.25%	$17,224,833	$72,373
6.50%	$16,562,339	$69,590
6.75%	$15,948,919	$67,012
7.00%	$15,379,315	$64,619
7.25%	$14,848,994	$62,391
Seller's CAP Based on actuals		8.08%
Buer's CAP based on projections		7.17%

CAPITAL STRUCTURE

TERMS	PER UNIT		
OFFERING PRICE[1]	$55,126	$	13,120,000
Transaction Fees			596,136
Reserves			1,300,949
Total Acquisition Cost		$	15,017,085
Assumed Loan		$	7,967,085
Mezzanine Financing			-
Equity Required		$	7,050,000
INTEREST RATE CALCULATION			
10-Yr T-Note			3.55%
Spread			2.15%
Interest Rate			5.70%
Interest Only Period			0
Mezzanine Loan Interest Rate			0.00%

DEBT SERVICE PAYMENT

First Mortgage	$582,397
LTV	61%
DSCR based on fully amortized loan & proforma	1.85
DSCR based on fully amortized loan & actuals	0.00
Annual Principal & Interest Payment	$582,397

YEAR ONE PROFORMA

INCOME		Annual	Per Unit	% of Gross
Gross Scheduled Rent[2]		$2,704,824	$11,365	100.00%
Gain(Loss) to Lease		-$327,065	-$1,374	-12.09%
Concessions & Other Loss		-$34,068	-$143	-1.26%
Vacancy		-$222,277	-$934	-8.22%
Other Rental Losses (Bad debt, etc.)		-$2,400	-$10	-0.09%
Effective Gross	[redacted]	**$2,119,014**	**$8,903**	**78.34%**
Other Income		$141,422	$594	5.23%
Washer/Dryer Income		$0	$0	0.00%
TOTAL INCOME		**$2,260,437**	**$9,498**	**83.57%**

EXPENSES		Annual	Per Unit	% of Gross
Management Fees		$56,511	$237	2.09%
Payroll		$302,645	$1,272	11.19%
Administration		$45,063	$189	1.67%
Advertising		$30,829	$130	1.14%
Tax		$318,339	$1,338	11.77%
Insurance		$47,496	$200	1.76%
Utilities		$159,090	$668	5.88%
Repairs & Maintenance		$148,412	$624	5.49%
Contract & Turnover		$0	$0	0.00%
OPERATING EXPENSES		**$1,108,385**	**$4,657**	**40.98%**
Capital Expenses		$75,500	$317	2.79%
Operating Expense Plus Reserves		**$1,183,885**	**$4,974**	**43.77%**
NET OPERATING INCOME AFTER CAPITAL		**$1,076,552**	**$4,523**	**39.80%**
Annual Debt Service		$582,397	$2,447	21.53%
Asset Management Fee	2.5% Of Revenue	$56,511	$237	2.09%
OPERATING CASH FLOW		**$437,644**	**$1,839**	**16.18%**
YEAR ONE CASH ON CASH		**6.21%**		
YEAR ONE PREFERRED RETURN	75%	**$328,233.09**		
REMAINING CASH		**$109,411**		
CASH CONTRIBUTION BALANCE		**$7,050,000**		

OPERATING PROFORMA

ANNUAL	YEAR TWO	% GROSS	PER UNIT	YEAR THREE	% GROSS	PER UNIT	YEAR FOUR	%GROSS	PER UNIT	YEAR FIVE	%GROSS	PER UNIT
INCOME												
GPR Per Unit	$971			$995			**$1,020**			**$1,045**		
Effective Per Unit	$906			$951			**$978**			**$1,002**		
Effective Per Sq/Ft	$0.88			$0.93			**$0.95**			**$0.98**		
Effective Increase (%)	12.10%			4.96%			**2.84%**			**2.47%**		
Gross Scheduled Rent	**$2,772,445**		11,649	**$2,841,756**		**11,940**	**$2,912,800**		**12,239**	**$2,985,620**		**12,545**
Gain(Loss) to Lease	-$123,328	-4.4%	(518)	-$67,617	-2.4%	(284)	-$61,240	-2.1%	(257)	-$63,874	-2.1%	(268)
Concessions & Other Loss	-$41,119	-1.5%	(173)	-$41,747	-1.5%	(175)	-$42,393	-1.5%	(178)	-$43,057	-1.4%	(181)
Vacancy	-$194,071	-7.0%	(815)	-$198,923	-7.0%	(836)	-$203,896	-7.0%	(857)	-$208,993	-7.0%	(878)
Other Rental Losses (Bad debt, etc.)	-$6,950	-0.3%	(29)	-$7,124		(30)	-$7,302	-0.3%	(31)	-$7,484	-0.3%	(31)
Effective Gross	**$2,406,976**	**86.8%**	**10,113**	**$2,526,344**	**88.9%**	**10,615**	**$2,597,969**	**89.2%**	**10,916**	**$2,662,211**	**89.2%**	**11,186**
Other Income	$151,564	5.5%	**637**	$156,111	5.5%	**656**	$160,794	5.5%	**676**	$165,618	5.5%	**696**
Washer/Dryer Income		0.0%	**0**			**0**		0.0%	**0**			**0**
TOTAL INCOME	**$2,558,540**	**92.3%**	**10,750**	**$2,682,455**	**94.4%**	**11,271**	**$2,758,763**	**94.7%**	**11,591**	**$2,827,829**	**94.7%**	**11,882**
EXPENSES												
Management Fees	$63,963	2.3%	269	$67,061	2.4%	282	$68,969	2.4%	290	$70,696	2.4%	297
Payroll	$311,725	11.2%	1,310	$321,076	11.3%	1,349	$330,709	11.4%	1,390	$340,630	11.4%	1,431
Administration	$47,338	1.7%	199	$48,510	1.7%	204	$49,711	1.7%	209	$50,942	1.7%	214
Advertising	$31,754	1.1%	133	$32,706	1.2%	137	$33,688	1.2%	142	$34,698	1.2%	146
Tax	$326,290	11.8%	1,371	$349,183	12.3%	1,467	$373,361	12.8%	1,569	$399,177	13.4%	1,677
Insurance	$49,871	1.8%	210	$52,364	1.8%	220	$54,983	1.9%	231	$57,732	1.9%	243
Utilities	$162,408	5.9%	682	$168,904	5.9%	710	$175,661	6.0%	738	$182,687	6.1%	768
Repairs & Maintenance	$152,864	5.5%	642	$157,450	5.5%	662	$162,174	5.6%	681	$167,039	5.6%	702
Contract Services & Turnover	$0	0.0%	0	$0	0.0%	0	$0	0.0%	0	$0	0.0%	0
OPERATING EXPENSES	**$1,146,213**	**41.3%**	**4,816**	**$1,197,256**	**42.1%**	**5,030**	**$1,249,254**	**42.9%**	**5,249**	**$1,303,600**	**43.7%**	**5,477**
Capital Expenses	$75,500	2.7%	317	$75,500	2.7%	317	$75,500	2.6%	317	$75,500	2.5%	317
Operating Expense Plus Reserves	**$1,221,713**	**44.1%**	**5,133**	**$1,272,756**	**44.8%**	**5,348**	**$1,324,754**	**45.5%**	**5,566**	**$1,379,100**	**46.2%**	**5,795**
NET OPERATING INCOME	**$1,336,827**	**48.2%**	**5,617**	**$1,409,699**	**49.6%**	**5,923**	**$1,434,009**	**49.2%**	**6,025**	**$1,448,728**	**48.5%**	**6,087**
Annual Debt Service	$582,397			$582,397			$582,397			$582,397		
Partnership Costs 2.5% of revenue	$83,243			$86,341			$88,249			$89,976		
OPERATING CASH FLOW	**$671,186**		53%	**$740,960**		10%	**$763,363**		3%	**$776,356**		2%
PREFERRED RETURN 75%	**$503,390**			**$555,720**			**$572,522**			**$582,267**		
REMAINING CASH	**$167,797**			**$185,240**			**$190,841**			**$194,089**		
CASH ON CASH RETURN	9.52%			10.51%			10.83%			11.01%		
CASH CONTRIBUTION BALANCE	**$7,050,000**			**$7,050,000**			**$7,050,000**			**$7,050,000**		

Property Proforma & Investment Summary
Sensitivity SALE Analysis

Sales Projections		End of Year 5		
Projected Net Operating Income *		$ 1,448,728		
Projected Cap Rate		6.75%	7.00%	7.25%
Projected Sales Price		$ 21,462,644	$ 20,696,121	$ 19,982,461
Sales Price Per Unit		*$90,179*	*$86,958*	*$83,960*
Sales Price Per Sq/Ft		*$87.96*	*$84.82*	*$81.89*
Less Cost of Sale	2.5%	(536,566)	(517,403)	(499,562)
Net Sales Proceeds		$ 20,926,078	$ 20,178,718	$ 19,482,900
Payoff of Loan Balance		$ (6,532,453)	$ (6,532,453)	$ (6,532,453)
Payoff of Loan Balance - 2nd Mtge.		$ -	$ -	$ -
Unpaid Accrued Return Due Investors		-	-	-
Return of Outstanding Equity		(7,050,000)	(7,050,000)	(7,050,000)
Net Proceeds for Distribution		$ 7,343,624	$ 6,596,265	$ 5,900,447
Profit to Investors	75%	$ 5,507,718	$ 4,947,198	$ 4,425,335
Profit to Manager Member	25%	$ 1,835,906	$ 1,649,066	$ 1,475,112
Internal Rate of Return				
Original Investment		$ (7,050,000)	$ (7,050,000)	$ (7,050,000)
Cash Flow Year 1		$ 437,644	$ 437,644	$ 437,644
Cash Flow Year 2		$ 671,186	$ 671,186	$ 671,186
Cash Flow Year 3		$ 740,960	$ 740,960	$ 740,960
Cash Flow Year 4		$ 763,363	$ 763,363	$ 763,363
Cash Flow Year 5		$ 15,169,981	$ 14,422,621	$ 13,726,803
Total LP Cash Distributions Inclusive of Sale Proceeds		$ 15,099,851	$ 14,539,331	$ 14,017,468
Total LP Cash on Cash Return		214.18%	206.23%	198.83%
Limited Partner Levered Internal Rate of Return		17.88%	16.96%	16.07%
Per year Average Cash on Cash Return with Sale		42.84%	41.25%	39.77%

Real Estate> investment | development | construction | management

Property Proforma & Investment Summary
Sensitivity REFINANCE Analysis

Real Estate> investment | development | construction | management

Refinance Analysis — End of Year 5

Projected Net Operating Income		$ 1,448,728		
			Loan to Value Analysis	
Projected Cap Rate		6.75%		7.00%
Projected Value		$ 21,462,644		$ 20,696,121
Value Per Unit		*$90,179*		*$86,958*
Loan Proceeds - LTV	75%	$ 16,096,983		$ 15,522,091
Payoff of Existing Loan Balance		$ (6,532,453)		$ (6,532,453)
Net Proceeds		$ 9,564,530		$ 8,989,638
			Debt Service Coverage Ratio Analysis	
Projected DSCR		1.25		1.25
Projected Interest Rate		6.50%		6.75%
Debt Service Payment		$ 1,158,983		$ 1,158,983
Loan Proceeds		$ 15,280,301		$ 14,890,870
Payoff of Existing Loan Balance		$ (6,532,453)		$ (6,532,453)
Net Proceeds		$ 8,747,848		$ 8,358,417
*Net Proceeds from Refinance		$ 8,747,848		$ 8,358,417
Total Due Investors @ End of Year 5		$ 7,050,000		$ 7,050,000
Additional Proceeds Remaining		$ 1,697,848		$ 1,308,416

**Lowest scenerio between Loan to Value vs. DSCR analysis*

Financing Terms
Saddle Creek

TERMS OF NEW LOAN

LENDER				
PURCHASE PRICE			$ 13,120,000	[redacted]
CLOSING COSTS/FEES			$ 596,136	
CONTINGENCY RESERVES			$ 1,300,949	
TOTAL ACQUISITION COST			$ 15,017,085	
AMORTIZATION		Yrs	30	
LOAN TERM		Yrs	10	
SUBORDINATE FINANCING				
INTEREST RATE			5.70%	
LOAN AMOUNT	61%	LTV	$ 7,967,085	
EQUITY			$ 7,050,000	

INTEREST RATE CALCULATION

10 YR. T BILL	3.55%
PLUS	2.15%
EQUALS TODAY	5.70%
INTEREST ONLY FIRST TWO YEARS	NO

SOURCES OF FUNDS

NEW MORTGAGE LOAN	$7,967,085	
EQUITY	7,050,000	
TOTAL SOURCES	**$15,017,085**	
USES OF FUNDS		
PURCHASE PRICE	$13,120,000	
YIELD MAINTENANCE PENALTY	0	
TOTAL	**$13,120,000**	
CLOSING COSTS AND FEES		
APPRAISALS, ETC.	$6,000	
ENVIRONMENTAL		removed si
ENGINEERING		removed si
SURVEY		removed si
TITLE AND RECORDING	5,000	lowered frc
REAL ESTATE TAX ESCROW	159,169	
ACQUISITION FEE TO MC REALTY	196,800	
INSURANCE IMPOUNDS	12,000	
DUE DILIGENCE FEE		removed si
INSURANCE	47,496	
LEGAL FEES	80,000	Lowered fr
INTEREST EXPENSE & DEAL REIMBURSABLES	$10,000	
LOAN FEES	79,671	loan assum
TOTAL	**$596,136**	4.54%
RENOVATIONS		
INTERIOR & EXTERIOR	1,051,155	$2000/unit
CONTINGENCY RESERVES	230,045	
TOTAL	**$1,300,949**	
TOTAL USES	**$15,017,085**	